



“If the performance of the company is flat, then there is no apparent reason for the valuation to go up. The board, including the VCs, need to justify how the valuations have gone up when the growth prospects have been negative”

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company has turned profitable on an operating basis. However, he did not reveal any numbers.

While surrounded by challenges, and taking various measures to mitigate them, one thing is certain. Start-ups are not giving up the fight just yet. For instance, Gaurav Munjal, Co-founder and CEO of Unacademy, has time and again spoken about how the edtech firm's senior leadership is taking salary cuts, and they have also cut down on employee costs. All that with a view to turning profitable, a target they expect to achieve soon.

On the other hand, *BT* had earlier reported that Swiggy has closed off all its non-viable businesses in order to cut down expenses. For instance, it had pulled the plug on its pilot programme for premium grocery delivery called Handpicked, which was functional in several parts of Bengaluru. It had also shut down its meat marketplace vertical in January and laid off 380 employees as part of a company-wide restructuring activity in the same month.

Investors, too, have had an epiphany of sorts, and transformed as a result. While initially, their focus on growing the top line was supremely important, conversations are increasingly veering towards balanced growth and profitability now. “Today, investors are placing greater emphasis on finding a balance between growth and profitability when it comes to valuations,” says Lightspeed's Bhargava. “By considering a broader

set of parameters, including a focus on capital allocation, investors aim to gain a comprehensive understanding of a company's value proposition and potential for long-term success.”

A top Indian investor who did not wish to be named told *BT* that investors have often been swayed by the charisma of founders. “Investment within the start-up ecosystem was earlier personality-driven. Their start-ups may not have established business models but investors have invested in them because they [the founders] are eloquent and charismatic, invite the top stakeholders for drinks, and organise lavish parties for them. The only chatter during parties is around valuations.”

Investors need to stop getting carried away by the passion of the founders and judge the company by its business model and how it is contributing to the economy, says the investor quoted above.

“I can resonate [with what the investor is saying],” says Singhvi, admitting that he sometimes goes all out when it comes to betting on the founders. “In my eight years of investing, I must have taken a bet on the founders when I know that the business or the plan he is sharing doesn't make sense. Sometimes founders have proven to be worth the risk, but at other times, they have not.” He adds that while judging the founders now, he has added a few more layers of due diligence, that includes his or her knowledge, attitude, and experience, apart from their passion for their projects. “When things go haywire, your attitude shows a lot about how you handle the situation.”

Kanuga adds that investors, founders, and the board of directors need to come together and handle the crisis at hand. They need to be responsible and make sure that adequate checks and balances are put in place. “If the performance of the company is flat, then there is no apparent reason for the valuation to go up,” he asserts, adding that VCs need to justify how the valuations have gone up when the growth prospects of the company have been negative.

That brings us back to the original question: Is this the end of the era when start-ups were achieving unicorn status almost every other week? “Absolutely not!” says Bhargava. “The era of unicorns is still very much alive; however, the standards for achieving the ‘unicorn’ status may have become more stringent, which in my opinion, is good for the ecosystem.”

Experts believe handling the current crisis with care and foresight can bring the mojo back for start-ups and help strengthen the ecosystem. After all, who doesn't like a revival story? **BT**

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